

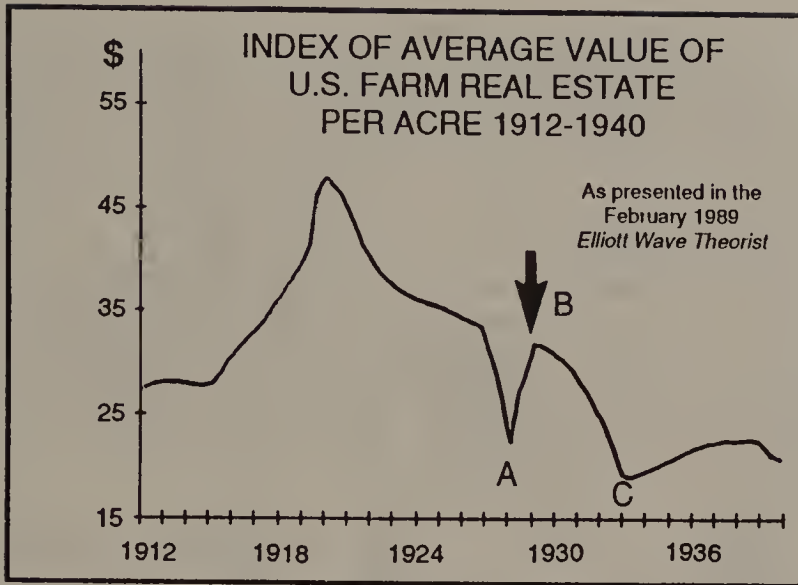


Figure 20-5

Figure 20-13). In 1990, Japan's Nikkei stock index plummeted, reversing the fortunes of Japanese investors who had put so much money into California real estate at the end of what *The Wall Street Journal* called "the most sustained residential real-estate boom in American history." In that state, where families had camped out on doorsteps of new homes and formed block-long lines for a chance to bid on them first thing in the morning, prices actually began to go down. By the second quarter of 1990, dwelling prices, led by condominiums, had crashed in the Northeast. Stamford sported a commercial vacancy rate of 50% (i.e., half the buildings were empty), and 41% of Connecticut real estate brokers declined to renew their annual licenses. In September 1990, *Newsweek's* cover read, "The Real Estate BUST." "For the first time since the Great Depression," said *The New York Times*, "rents are dropping in much of New York City."

By late 1992, some regional real estate prices had been devastated. According to REIS Reports, Inc., downtown Manhattan had developed a 50-year supply of commercial real estate. In southern California, the average home price decline of 10-25% (depending upon the area) was described as "devastating." Applications for building permits in the state fell 50%, and for awhile, construction came virtually to a halt. Los Angeles office space was 30% vacant. Rents halved in three years. Mayors were meeting to try to figure out how to save the cities. A Los Angeles county S&L reported that suddenly 100 to 150 home owners every month were turning in their